

Republic of the Philippines
HOUSE OF REPRESENTATIVES
Quezon City

20th CONGRESS
First Regular Session

HOUSE BILL NO. **3736**



Introduced by REP. JUAN CARLOS "ARJO" C. ATAYDE

AN ACT
ESTABLISHING THE RIGHTS AND WELFARE OF PLATFORM WORKERS,
ENSURING FAIR COMPENSATION, SOCIAL PROTECTION, AND
MECHANISMS FOR ACCOUNTABILITY AND COLLECTIVE REPRESENTATION,
AND FOR OTHER PURPOSES

EXPLANATORY NOTE

As the Pulitzer Center aptly put it in its 2025 report: *"Algorithmic work, in its current form, risks creating a modern-day labor underclass unless it is balanced with meaningful safeguards and legal rights."*

In recent years, the Philippine labor force has seen a sharp rise in the number of individuals engaged in platform-based work—riders, couriers, drivers, and digital freelancers who deliver services through mobile applications such as Grab, Foodpanda, Angkas, and Lalamove. This evolving work landscape has contributed to convenience, mobility, and income generation, especially amid the COVID-19 pandemic. Yet, it has also surfaced significant legal and labor gaps, exposing a growing class of workers to systemic vulnerabilities.

At present, these workers are largely classified as "independent contractors" or "partners," rather than as regular employees. While this classification may provide platforms with operational flexibility, it often deprives the workers of even the most basic

labor protections – minimum wage guarantees, access to health benefits, job security, and the right to organize. As found by Fairwork Philippines in its 2023 report, “no major platform operating in the country met all five principles of fair work,” and most riders “ended up earning below the statutory minimum wage once expenses were factored in” (Fairwork Ratings 2023).

The lack of clear legal recognition has allowed some platforms to implement unilateral algorithmic decisions – deactivating accounts, reducing per-task rates, or redistributing bookings – without recourse for the worker. In several cases documented by the Business & Human Rights Resource Centre and GMA News, delivery riders were suspended or permanently deactivated for joining protest actions or voicing concerns about pay cuts. These incidents raise alarming questions about freedom of association and due process.

In response to these recurring abuses, the Philippine Institute for Development Studies has underscored the importance of crafting a “rights-based policy approach” for gig economy workers. Similarly, organized labor groups such as RIDERS-SENTRO have successfully registered as a legitimate union and pushed for sectoral recognition – an important milestone that calls for institutional reinforcement through legislation.

This bill seeks to close these gaps and to establish a legal framework that acknowledges the realities of platform-based labor while protecting the dignity, security, and rights of the individuals engaged in it. It does not seek to prohibit digital work nor limit innovation. Rather, it ensures that innovation does not come at the cost of fairness and human dignity.

In view of the foregoing, the immediate passage of this bill is earnestly sought.



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1 *Be it enacted by the Senate and House of Representatives of the Philippines in Congress*
2 *assembled:*

3 **SECTION 1. *Short Title.*** – This Act shall be known as the "Platform Workers
4 Rights and Protection Act."

5 **SEC. 2. *Declaration of Policy.*** – The State recognizes the right of every worker to
6 decent work, fair compensation, and adequate social protection, regardless of the mode
7 or form of employment. As the labor market evolves with technological advancements,
8 the government acknowledges the rise of the platform economy and commits to ensuring
9 that no worker is left unprotected. This Act seeks to provide a regulatory framework that
10 guarantees minimum labor rights and welfare benefits for individuals performing work
11 mediated through digital platforms, while also supporting innovation and economic
12 flexibility.

1 **SEC. 3. *Definition of Terms.*** – For purposes of this Act, the following terms shall
2 mean:

3 a. *Platform Worker* refers to any individual who performs labor or services through a
4 digital platform, regardless of employment status, including but not limited to
5 delivery personnel, ride-hailing drivers, online freelance workers, virtual
6 assistants, and creative service providers.

7 b. *Digital Platform* refers to any internet-based application or website that mediates
8 and facilitates the matching of demand for and supply of labor or services between
9 a client or consumer and a platform worker.

10 c. *Algorithmic Management* refers to the use of computer algorithms and data
11 analytics to assign tasks, set pricing, evaluate performance, and make
12 employment-related decisions for platform workers.

13 **SEC. 4. *Coverage.*** – This Act shall apply to any person performing remunerated
14 services through digital platforms operating in the Philippines, regardless of
15 employment status or classification.

16 **SEC. 5. *Presumption of Employment Relationship.*** – In cases of dispute, the
17 existence of an employment relationship shall be presumed if the platform exercises
18 control over essential aspects of the work such as pricing, scheduling, customer
19 assignment, or performance evaluation. Platforms may rebut this presumption by
20 proving that the worker is genuinely independent under criteria to be established by the
21 Department of Labor and Employment (DOLE).

22 **SEC. 6. *Rights and Entitlements of Platform Workers.*** – All platform workers shall
23 be entitled to the following rights and benefits:

24 a. *Fair and Transparent Compensation* – Platform workers shall be entitled to
25 compensation not less than the prevailing regional minimum wage per hour, pro-

1 rated accordingly for piece-rate or per-task arrangements, exclusive of tips or
2 gratuities voluntarily given by clients. All deductions, fees, commissions, or
3 charges applicable to the transaction shall be fully disclosed by the platform prior
4 to the worker's acceptance of the assignment.

5 b. *Social Protection and Welfare Benefits* – Platform-based digital labor shall not be
6 excluded from coverage under mandatory social protection programs.
7 Accordingly, platforms shall enroll their dependent contractors in the Social
8 Security System (SSS), Philippine Health Insurance Corporation (PhilHealth), and
9 the Home Development Mutual Fund (Pag-IBIG), with the contribution
10 responsibilities shared proportionately between the platform and the worker, as
11 may be prescribed by regulation. Furthermore, platforms shall secure mandatory
12 accidental death and medical insurance coverage for all active workers during the
13 performance of their duties.

14 c. *Right to Information and Algorithmic Transparency* – Platform workers shall be fully
15 informed of their legal rights, modes of remuneration, rating systems, grounds for
16 deactivation or suspension, and any algorithmic or operational changes that may
17 materially affect their terms of engagement or income potential. All terms of
18 service shall be drafted in clear and plain language, and made readily accessible
19 through mobile and electronic devices.

20 d. *Right to Safe and Healthy Working Conditions* – Platforms shall ensure that workers
21 are provided with the necessary personal protective equipment, weather-
22 appropriate clothing, and safety tools commensurate to the nature of the work
23 performed. In transportation-related services, platforms shall provide adequate
24 training on road safety, accident protocols, and proper health hygiene standards,
25 and ensure that assistance is available in case of emergencies.

26 e. *Right to Organize and Collective Bargaining* – Platform workers shall have the right
27 to organize themselves, join labor organizations, cooperatives, or workers'

1 associations, and engage in collective bargaining or mutual aid activities. The
2 exercise of this right shall not be a basis for retaliation, reduction of task
3 assignments, or algorithmic demotion.

4 f. *Protection Against Unjust Deactivation* – No platform worker shall be suspended,
5 penalized, de-prioritized, or permanently deactivated without observance of due
6 process. This includes the right to prior notice, written explanation of the grounds
7 for such action, and an opportunity to be heard and to appeal the decision before
8 an impartial body or mechanism instituted by the platform.

9 g. *Protection from Fraud and Abuse* – Platform workers shall be protected against
10 fraud, abuse, and deceptive practices committed by users or platform clients.
11 Where a worker incurs out-of-pocket expenses in the performance of a task – such
12 as advance payment for goods, services, or transportation – only for the booking
13 to be discovered as fraudulent, the platform shall bear the responsibility of
14 refunding or reimbursing the affected worker within a reasonable period. The
15 reimbursement process shall be simple, accessible, and not require burdensome
16 documentation. Platforms shall likewise establish a swift grievance redress
17 mechanism specifically dedicated to incidents involving fraudulent transactions.

18 h. *Non-Discrimination* – All platform workers shall be treated equally and without
19 discrimination based on gender, age, disability, ethnicity, religion, sexual
20 orientation, political affiliation, or membership in any legitimate workers'
21 organization. The principle of equal opportunity and fair treatment shall be
22 upheld in all aspects of engagement, including access to task assignments, client
23 ratings, and dispute resolution.

24 **SEC. 7. Obligations of Digital Platforms.** – All digital platforms operating in the
25 Philippines shall:

26 a. Register with the DOLE and obtain accreditation to legally operate;

- b. Submit periodic reports on worker statistics, average compensation, hours worked, and accident incidence;
- c. Adopt the Model Platform Worker Contract issued by DOLE and comply with all required terms; and
- d. Ensure secure data protection policies in handling personal and financial information of workers.

SEC. 8. *Model Platform Worker Contract.* - Within 90 days of the effectivity of this Act, DOLE shall, in consultation with relevant stakeholders including platform companies and labor organizations, issue a Model Contract that contains minimum standards for: (1) Compensation and payment periods; (2) Scope of work and conditions; (3) Termination and grievance procedure; (4) Social protection inclusion; (5) Dispute resolution mechanisms; (6) All other rights and conditions specifically covered under this Act. This Model Contract shall be presumed to apply in the absence of any written agreement, or where the terms offered fall below the standards prescribed.

SEC. 9. *Dispute Resolution and Legal Remedies.* - DOLE shall establish a dedicated Platform Labor Dispute Unit to handle complaints, mediate conflicts, and enforce worker protections. Platform workers may also avail of free legal aid through the Public Attorney's Office (PAO) for matters arising from violations of this Act.

SEC. 10. *Penalties.* - Any platform found to have willfully violated the provisions of this Act shall be subject to:

- a. Administrative fines ranging from ₱100,000 to ₱1,000,000 per offense, or
- b. Suspension of accreditation for repeated or grave violations, and
- c. Civil liability for unpaid wages, denied benefits, or harm caused by negligence.

SEC. 11. *Inter-Agency Coordination.* - An Inter-Agency Council on Platform Labor shall be created, composed of DOLE, DICT, NEDA, DTI, and key stakeholders, to

1 monitor developments in the digital labor market, propose updates to this Act, and
2 ensure consistent enforcement.

3 **SEC. 12. *Implementing Rules and Regulations.*** – Within ninety (90) days from
4 the effectivity of this Act, the DOLE shall promulgate the necessary implementing rules
5 and regulations, in consultation with the private sector, civil society, platform
6 companies, and worker associations.

7 **SEC. 14. *Appropriations.*** – The amount necessary to carry out the provisions of
8 this Act shall be included in the annual General Appropriations Act.

9 **SEC. 15. *Separability Clause.*** – If any part or provision of this Act is declared
10 unconstitutional or invalid, the remainder thereof shall not be affected and shall remain
11 in full force and effect.

12 **SEC.16. *Repealing Clause.*** – All laws, executive orders, rules, or regulations
13 inconsistent with this Act are hereby repealed, amended, or modified accordingly.

14 **SEC. 17. *Effectivity Clause.*** – This law shall take effect after fifteen days from its
15 publication in two newspapers of general circulation.

16
17 Approved,